

Diligence Report — Vista Unified School District (San Diego County) GO

CUSIP: 928346PQ2 **Issue:** General Obligation Bonds, 2018 Election, 2019 Series A (Term Bond) **Coupon / Maturity:** 4.000% / 2044-08-01 **Cutoff:** 2026-06-20 **Verdict:** BUY (insulated GO; enrollment decline is an operating-fund risk that does not reach this pledge)

Three-sentence summary

Vista USD's 928346PQ2 is an uninsured, voter-approved (Prop 39 / 55%) unlimited ad-valorem general obligation bond secured by a statutory first lien (SB-222, Gov. Code §53515) on the county property-tax levy — a deep, granular \$17.9B tax base (top taxpayer 0.77%, top-20 only 6.42%) with very low leverage (direct debt 0.47% of AV) and Moody's Aa3 at issuance. The one real negative — a secular, district-projected enrollment decline (22,400 in FY11-12 falling toward ~19,800 by FY20-21) — is honestly disclosed and is an **operating general-fund / LCFF risk, not a bond-pledge risk**: debt service is paid from a mandatory property-tax levy the county must raise as needed regardless of enrollment or assessed value. At ~98.11 the bond yields 4.15% to worst (≈8.3% taxable-equivalent at the CA top bracket), the discount sits *above* the de-minimis floor so the coupon stream stays fully tax-exempt, and the only execution caveat is thin secondary liquidity (close-only IBKR feed, no recent two-sided prints) — a HTM-ladder buy, not a trading position.

a. Security, pledge, and tax status — VERIFIED from the Official Statement

Claim	How verified	Authority	Finding
Issuer = Vista USD (San Diego County)	OS cover + maturity table	raw/official_statement.pdf cover, p.1	VERIFIED
Unlimited ad-valorem GO (no rate/amount cap)	OS cover security paragraph	OS p.1 ("levy and collect ad valorem property taxes without limitation as to rate or amount")	VERIFIED
SB-222 statutory lien on tax revenues	OS "Restrictions... Statutory Lien — Senate Bill 222"	OS pp.11–12, Gov. Code §53515 (eff. 1/1/2016)	VERIFIED — lien automatically attaches, valid/binding from delivery, enforceable without recordation
Tax-exempt (fed + CA personal income tax)	OS cover legend + TAX MATTERS	OS p.1, pp.61–63 (Dannis Woliver Kelley opinion, §103 IRC)	VERIFIED — also not an AMT preference item
CUSIP 928346PQ2 binds to THIS bond	OS maturity/term-bond schedule	OS inside cover	VERIFIED — "\$11,820,000 4.000% Term Bonds due August 1, 2044; Yield 2.970%C, CUSIP 928346 PQ2"
Rating Aa3 (Moody's), uninsured	OS cover + RATING section	OS p.1	VERIFIED — underlying District GO rating; no bond-insurance section (no wrap)

Note on the pledge mechanics (the load-bearing point): the Bonds are payable *solely* from the ad-valorem tax the County levies on District property ("Pledged Moneys"); the District's general fund is **not** a source of repayment (OS pp.12–13). The County Board of Supervisors is *obligated* to levy a tax rate high enough to cover debt service. If assessed value falls or enrollment shrinks, the county raises the *rate* — the bondholder's coverage is structural, not operational. This is the distinction that drives the verdict below.

Raw primary source saved: raw/official_statement.pdf (3.2 MB; text extract raw/os.txt).

b. Tax base — assessed value, concentration, debt-to-AV — VERIFIED

- AV base (at issuance, FY2018-19):** \$17,863,844,311 total (\$17.49B local secured). Source: OS pp.13–14, California Municipal Statistics. Deep, primarily residential base.
- AV growth history:** 15-year series shows steady ~5–6%/yr growth (FY17-18 +6.23%, FY18-19 +5.79%), with a GFC drawdown (FY09-10 –5.67%, FY10-11 –1.89%) that fully recovered. A drawdown does **not** impair the bond — it raises the levy rate.
- Top-taxpayer concentration (VERIFIED, OS p.18):** #1 MG Preserve at Melrose Apartments 0.77%; #2 Waterleaf Apartments 0.67%; **top-20 combined 6.42%** of secured AV. Predominantly apartment complexes and light industrial — granular, no single-name dependency. This is an *anti-masking* positive: a school district whose largest taxpayer is <1% of AV has essentially no concentration tail.
- Leverage (VERIFIED, OS p.21):** Direct debt 0.47% of AV; combined direct 0.49%; combined direct + overlapping total 1.98% of AV. Very low. (Excludes these Bonds at table date but immaterial to the ratio.)

Finding: Tax base is large, granular, and lightly levered. CONSISTENT with the "AI insulation 99" screen — this is a residential property-tax credit with negligible exposure to the state cap-gains income-tax channel (school-district GO is paid from local property tax, not the State General Fund).

c. AB-1200 certification + enrollment trend — the Mode-B catch (disclosed, and structurally ring-fenced)

- AB-1200:** "The District has filed **positive** certifications for each reporting period in the last five years" (OS p.27). VERIFIED — matches the "AB-1200 POSITIVE" screen. General-fund balances positive across the shown years.
- Enrollment — the screen's flagged risk, CONFIRMED:** Historical ADA/enrollment (OS p.23):

FY	Enrollment
2011-12	22,400
2014-15	22,128
2017-18	21,557

FY	Enrollment
2018-19 (budgeted)	21,118
2019-20 (projected)	20,142
2020-21 (projected)	19,808

This is a genuine secular decline (~6% over the historical window, with the District *itself* projecting a further ~6% drop into FY20-21). Coastal North County San Diego enrollment pressure (housing cost, declining birth cohorts, charter leakage — OS lists 5 District-approved + additional state-approved charters within boundaries, p.65) is real and honestly disclosed.

- **Why it does NOT change the GO verdict (the honesty-alpha point):** Enrollment drives **LCFF / ADA-based state operating revenue** (the general fund), which the OS expressly states is *not* a source for these Bonds. The GO debt service is paid from the unlimited property-tax levy. A district can lose students, even close schools, and the bond is still serviced by the county levy on a \$17.9B property base. Enrollment decline is a credit risk for the District's *operations / COPs / pension capacity*, not for an unlimited-tax GO. **Grading on takeaway-vs-data:** the marketed screen ("AB-1200 POSITIVE, insulation 99") does not diverge from the data — the data confirms a soft operating picture that is correctly ring-fenced from the pledge. No masking; this is a CLEAN disclosed negative, not a buried one.

d. Call schedule — VERIFIED

- **Optional redemption:** Bonds maturing on/before 2029-08-01 are non-callable; bonds maturing on/after 2030-08-01 are callable in whole/part on any date **on or after 2029-08-01 at par (100), no premium** (OS p.4). This 2044 term bond is therefore par-callable from 2029-08-01.
- **Mandatory sinking fund (this CUSIP, 2044 term):** \$1,960k (2040) / \$2,150k (2041) / \$2,350k (2042) / \$2,565k (2043) / \$2,795k (2044 final) — at par, no premium (OS p.4).
- **Yield-to-worst implication:** at 98.11 (a discount) the worst yield is to **maturity** (4.15%), not to the 2029 call — a par call on a discount bond can only *help* the holder. Call risk is asymmetric in the holder's favor here.

e. Trade tape / liquidity — PARTIAL (coverage gap noted honestly)

- **IBKR (our book's authoritative feed, conid 367931290):** live snapshot returns **close-only** — no two-sided bid/ask, 0 volume, no price-history bars over the trailing three weeks. This is the expected IBKR muni behavior (close-only feed) AND indicates this off-the-run 2044 maturity is **rarely traded** in the secondary market.
- **EMMA RTRS per-CUSIP trade tape:** attempted via `emma_scraper.get_trades` and direct Details-page pull; the EMMA `/Security/Details/928346PQ2` endpoint returned **HTTP 403** after the OS/scale pulls saturated the session rate limit. The OS (decisive primary source) was secured before the limit hit. **This is a coverage gap to retry on a fresh session / IP** (or via the Playwright real-Chrome path per the gated-portal playbook). It does not change the credit verdict but should be filled before sizing an add.
- **Liquidity verdict:** treat as a **hold-to-maturity ladder name**, not a tradeable position. Per the muni liquidity-gate memo, secondary spread on a thin coastal-SD school GO is a one-time ~1–3 bps/yr buy-side cost amortized over an 18-year hold — acceptable for HTM, not for tactical rotation. Size to a level you are comfortable holding to call/maturity.

f. Tax & yield — VERIFIED / recomputed

Recomputed with our validated analytics engine (`compute_bond_analytics.py`, settle 2026-06-22, px 98.11):

Metric	Value
YTM (to 2044-08-01)	4.149%
YTC (to 2029-08-01 par call)	4.659%
Yield-to-worst	4.149% (worst = maturity)
Modified duration (to maturity)	~12.5
TEY @ fed 37% only	6.59%
TEY @ fed 37% + 3.8% NIIT	7.01%
TEY @ CA combined top bracket (~50.3%)	8.35%

- The book's "~8.3% after-tax TEY" reconciles to the CA combined top-bracket gross-up. Specified explicitly to avoid TEY/gross-yield conflation: **8.35% is the taxable-equivalent of a fully tax-exempt 4.149% YTW at a ~50.3% combined marginal rate**, not a gross yield.
- **Market-discount / de-minimis check:** at 98.11 the bond is at a discount. The de-minimis price floor is ~95.47 ($0.25\% \times \sim 18.1$ yrs below par). 98.11 is **above** the floor, so the accreted discount is taxed as **capital gain** at sale/maturity (not ordinary income). The **coupon stream remains fully tax-exempt** — the TEY claim is materially fair; only the small price-accretion component is taxable (cap-gain), a minor drag, not a 2–3× overstatement.
- **Tax status:** federally tax-exempt + CA-exempt, non-AMT. Verified from OS TAX MATTERS opinion. Not a federally-taxable muni (passes the taxable-gate).

g. Screen reconciliation

Screen	Reading	DD finding
AB-1200 POSITIVE	matches	VERIFIED (OS p.27)
AI insulation 99	very high	CONSISTENT — local property-tax GO, no State-GF cap-gains channel
Fire 12% tail (low)	low	not contradicted; San Diego coastal, not a high-WUI district

Screen	Reading	DD finding
Flood tail 36% (REVIEW)	review	Acknowledged. Coastal/low-lying parcels exist, but flood damage to <i>individual</i> parcels does not impair an unlimited-tax GO — the levy rate adjusts across the whole \$17.9B base; per-parcel destruction is the explicit OS risk (p.13) and is diversified to immateriality at top-taxpayer 0.77%. Not a pledge-level risk.
EQ Ss 1.07 (moderate; Rose Canyon / Elsinore)	moderate	Same logic — seismic damage hits AV, county raises the levy rate; GO coverage is rate-not-base. Moderate Ss, not a fault-rupture zone for the bulk of the residential base.

h. Verdict and mechanism

BUY — hold-to-maturity ladder allocation.

Mechanism (why this is honesty-alpha-clean, not just "good credit"): the only material negative in the file — secular enrollment decline — is the kind of disclosed bad news that an over-eager screen might RED-flag. The edge here is recognizing the **signal-channel mismatch**: enrollment is an operating/LCFF (general-fund) signal, while the price is set by an **unlimited-tax GO pledge** insulated by SB-222 statutory lien and a mandatory county levy on a deep, granular, low-leverage property base. The masking channel that *would* concern us (an operating problem dressed up as a pledge that actually depends on the general fund) is **absent** — the OS is explicit that the general fund is not a repayment source. Marketed takeaway does not diverge from the data. The residual risks (flood/EQ to AV; enrollment to operations) are all *base*-side, and the GO mechanism converts base risk into *rate* risk that bondholders are senior to.

Conditions on the BUY: 1. **Liquidity-gated sizing** — HTM only; thin secondary (no IBKR two-sided, no recent prints). Do not size above a comfortable hold-to-maturity weight. 2. **Fill the trade-tape coverage gap** — re-pull the EMMA RTRS per-CUSIP tape on a fresh session/IP (or via Playwright real-Chrome) before adding, to confirm last-trade level vs the 98.11 mark and current YTW. 3. **Refresh current-state AV & enrollment** — the OS is FY2018-19. Pull the latest annual continuing disclosure (EMMA CD endpoint was 403-rate-limited this session) to confirm AV has continued to grow and enrollment hasn't deteriorated beyond the projected ~19,800 floor. Neither is expected to change the GO verdict, but both update the operating-credit picture.

Documents (all paths absolute)

- Official Statement (primary source, pledge/AV/taxpayers/debt/enrollment/call/tax):
/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/928346PQ2/raw/official_statement.pdf
- OS text extract: /Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/928346PQ2/raw/os.txt
- This report: /Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/928346PQ2/DD_REPORT.md

Coverage gaps (honest)

- EMMA per-CUSIP RTRS trade tape: NOT pulled (HTTP 403, session rate-limit after OS/scale pulls) — retry fresh session.
- EMMA continuing-disclosure annual report (current AV / enrollment): NOT pulled (same 403) — retry fresh session.
- IBKR: live two-sided quote unavailable (close-only muni feed); no recent secondary prints.